# SMART PURCHASE REQUISITION

**RIGHT PRODUCT. RIGHT VENDOR.BEST COST**

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# AGENDA


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# Background & Current Challenges

Present procurement challanges

# Background & Current Challenges

### OEM Price Inflation

Higher costs for Non-OEM/PAC, generic items due to procurement from OEMs/PAC of equipments.

### Price Inconsistency

Same material procured at different rates at different locations, leading to poor cost control.

### Difficulty in finding vendor

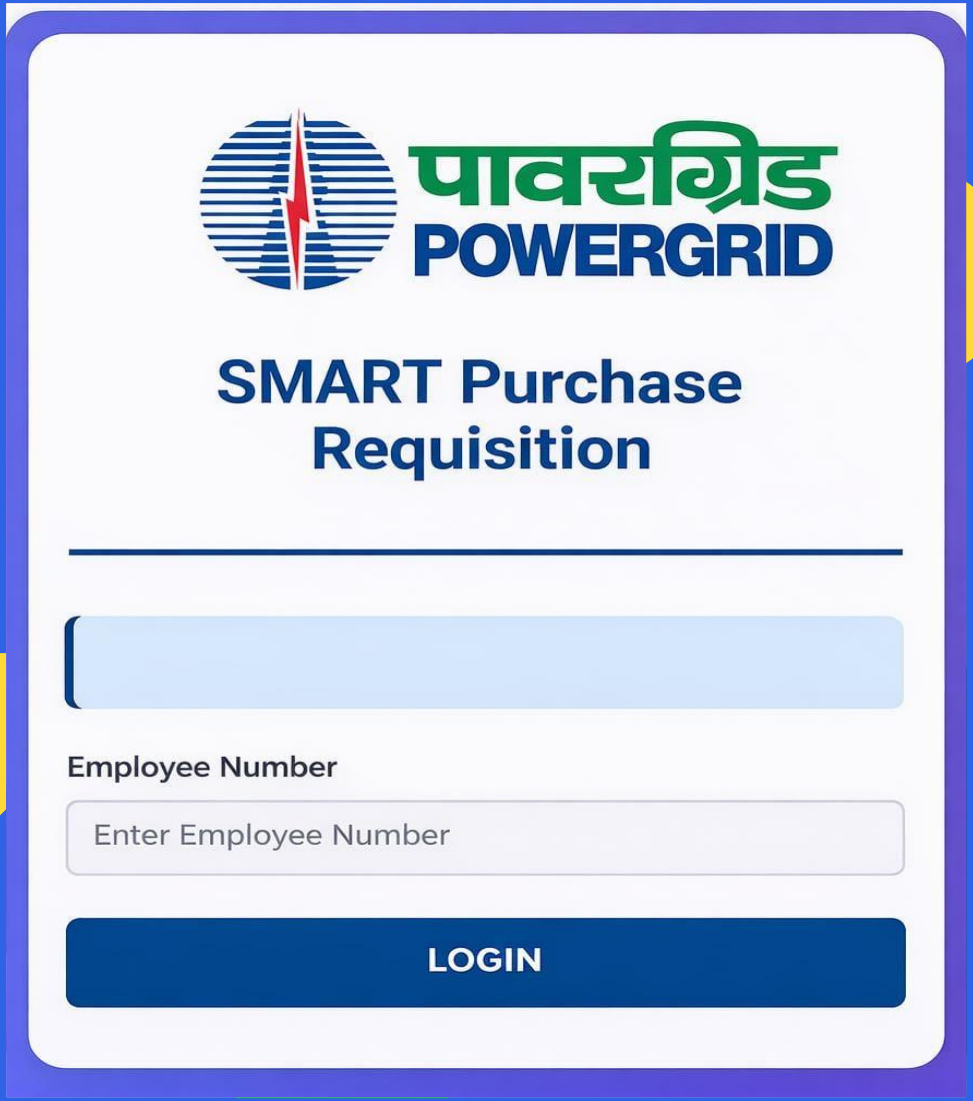
Difficulty in finding suitable vendors for Materials, and Parts of Equipment's.

### Procurement/ Delivery Delay

Repair delays due to lengthy procurement process and high OEM dependency.

# Proposed Solution

Price-Controlled Purchase Requisition System



# Proposed Solution

❖ Working offline  demo website page available for live demonstration.

### Cost Evaluation

Comparison and identification of Non-OEM /PAC, Generic materials to identify cost-effective options

### Material Identification

Easy identification of Materials using equipment/ T&P details

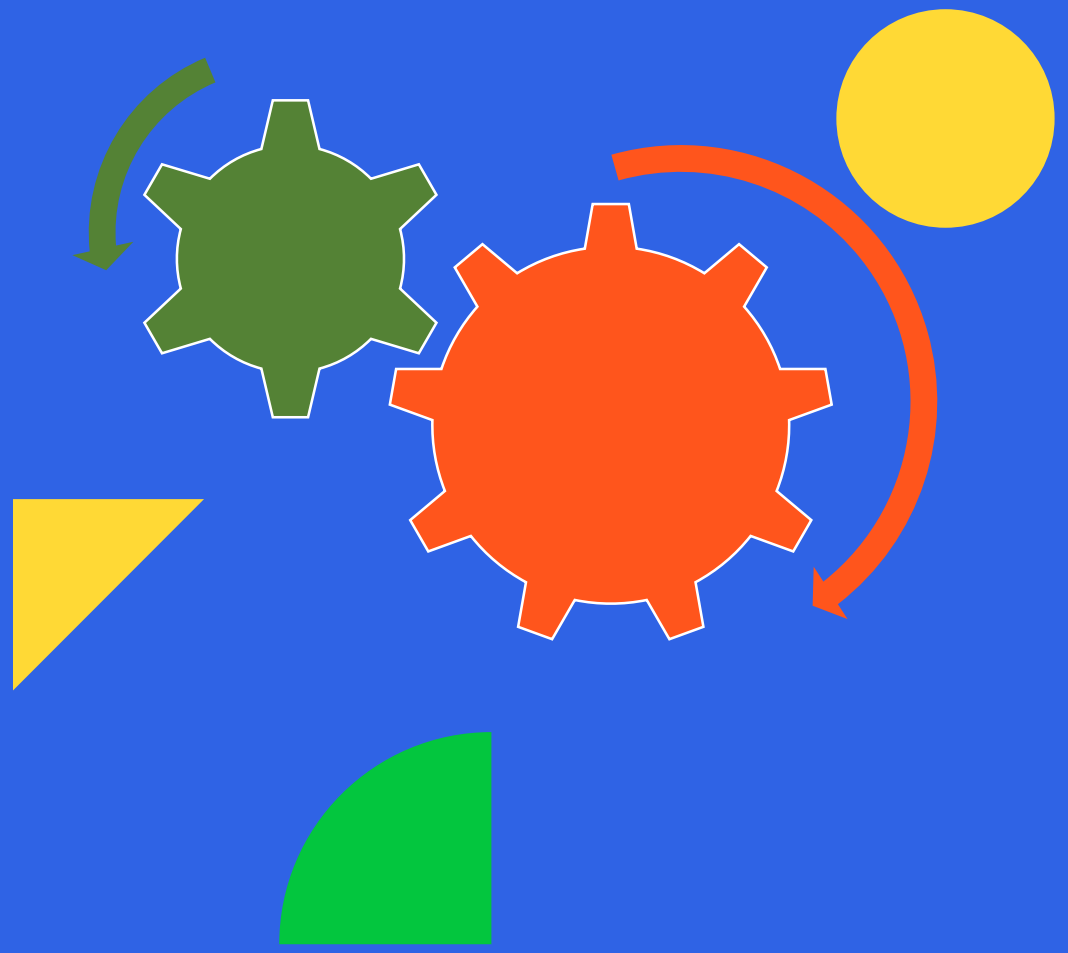
### Easy Search

Centralized platform for effortless Material and vendor search

### Rate Optimization

Best-price/vendor selection based on approved rates

❖ OEM pricing is justified for critical items, not for easily available generic items like switches and sensors etc. This system ensures OEM prices are paid only where technically required.



# Cost Saving Mechanism

Cost Optimization Methods

# Cost Saving Mechanism

Strengthens current cost management practices.
Identifies savings opportunities with higher precision in O&M.

Elimination of OEM price monopoly for non-OEM /PAC & generic items

Selection of cost-effective vendors without compromising technical requirements

Reduction in repeat high-cost purchases by using previous purchase price and approved rates

Identification of high price-variation items and fixing approved standard rates

# Cost Saving & Impact

Savings calculated based on the difference between the previous purchase price and the approved/new purchase rate.

Avoids repeated over-priced purchases throughout the year

Consolidated saving report available for management review

High-value and high-volume items generate maximum savings and should be the primary focus.

Savings tracked by equipment, material, and location wise

# Cost Saving Examples (OEM/PAC vs Market)

| Sr no. | Material | OEM Rate | Market Rate | Savings |
|---|---|---|---|---|
| 1 | Auto Drain Valve | 17500 | 2650 | 14850 |
| 2 | NC Block | 14160 | 50 | 14110 |
| 3 | Websling | 6500* | 3000 | 3500 |
| 4 | Rotary Switch | 3600 | 500 | 3100 |
| 5 | Vacuum Oil | 2232 | 230 | 2000 |
| 6 | Trip/Close Coil | 15000 | 4300 | 10700 |

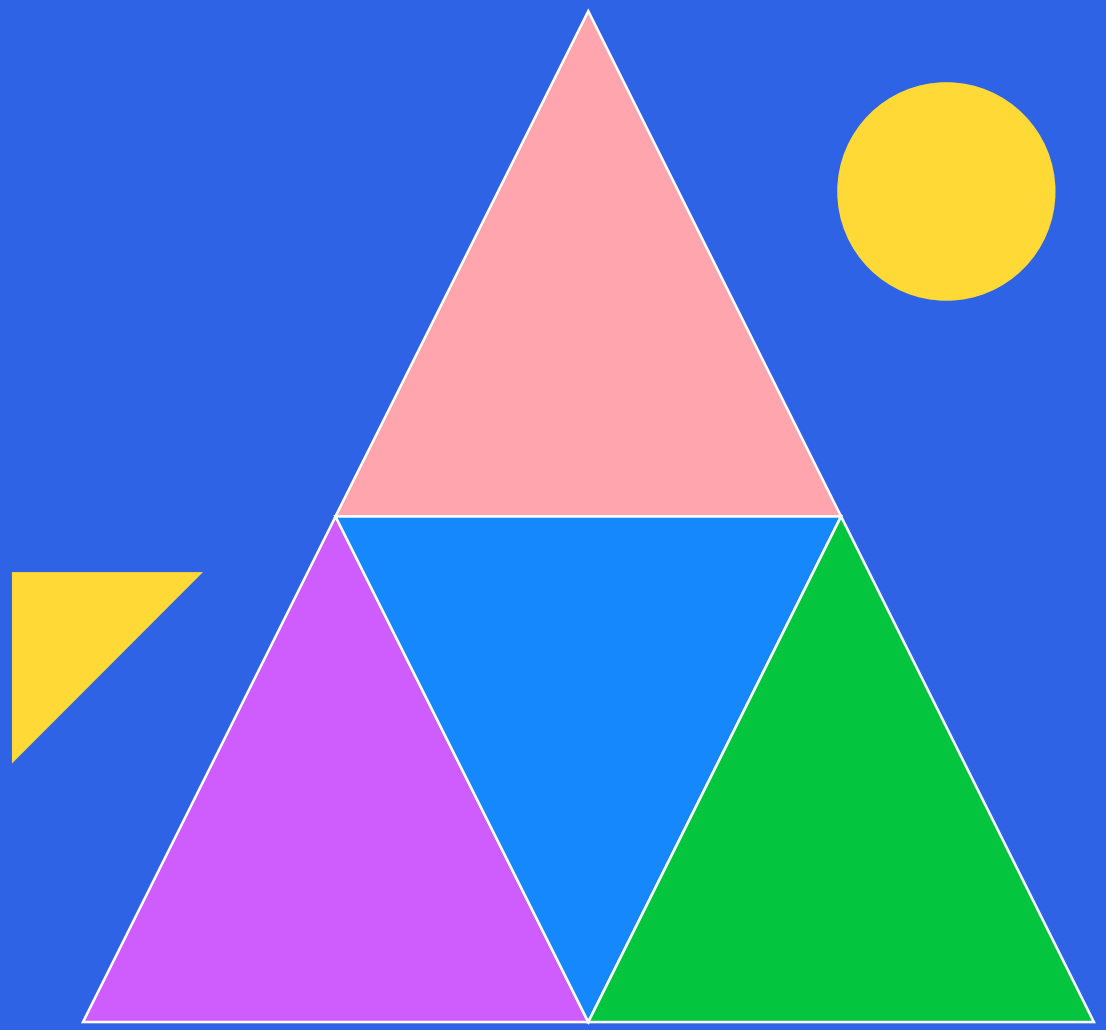
*And many more examples

**Key Observations:**

- All above items are Non-OEM/PAC and Generic.
- OEM prices are much higher than market rates.
- OEM and market products are the same in all technical and quality aspects (including make and model).

# Future Expansion

Full scale development of sytsem and In-House Equipment Repair & Maintenance Works Team

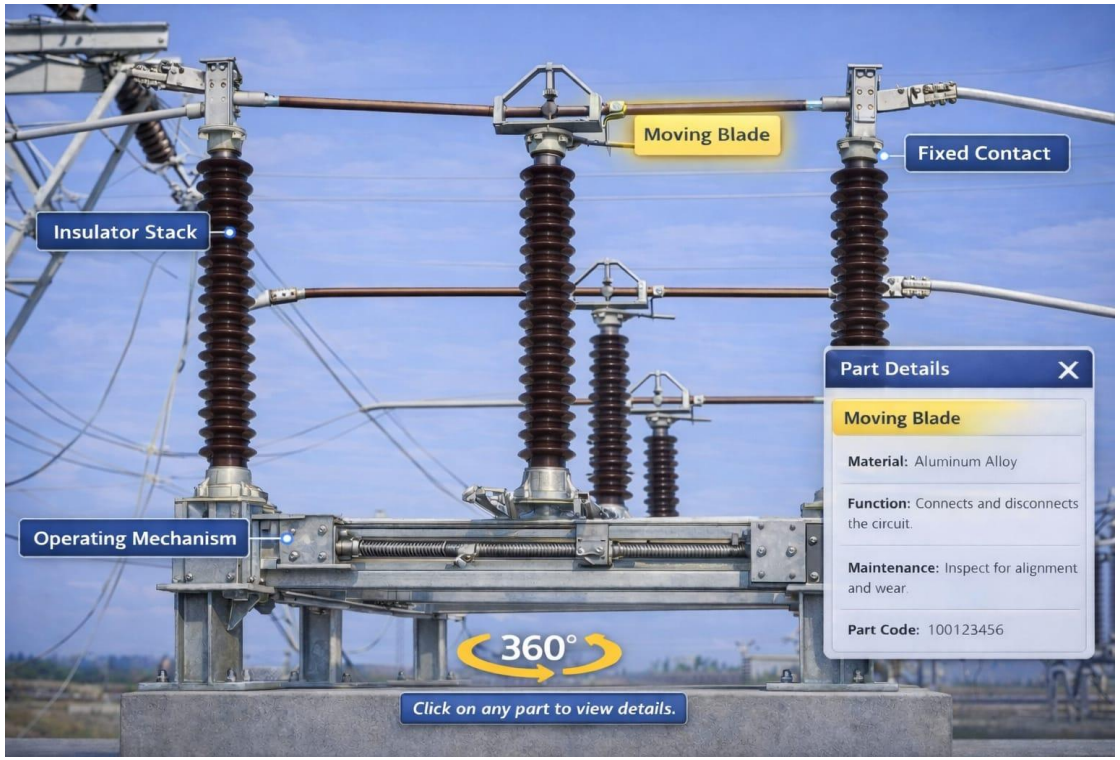


# Future Expansion Plan

Full-scale Smart PR system development, testing, and implementation. Update features based on user feedback and operational requirements.

Create 3D/360° models of equipment for easy material identification, Click on equipment parts to view material details and specifications.

Training users, post-implementation support, and regularly data updation, PR approvals, and new entries of materials.




❖ 3D/360° models of equipment can also be used for Training purpose.

# Future Expansion Plan

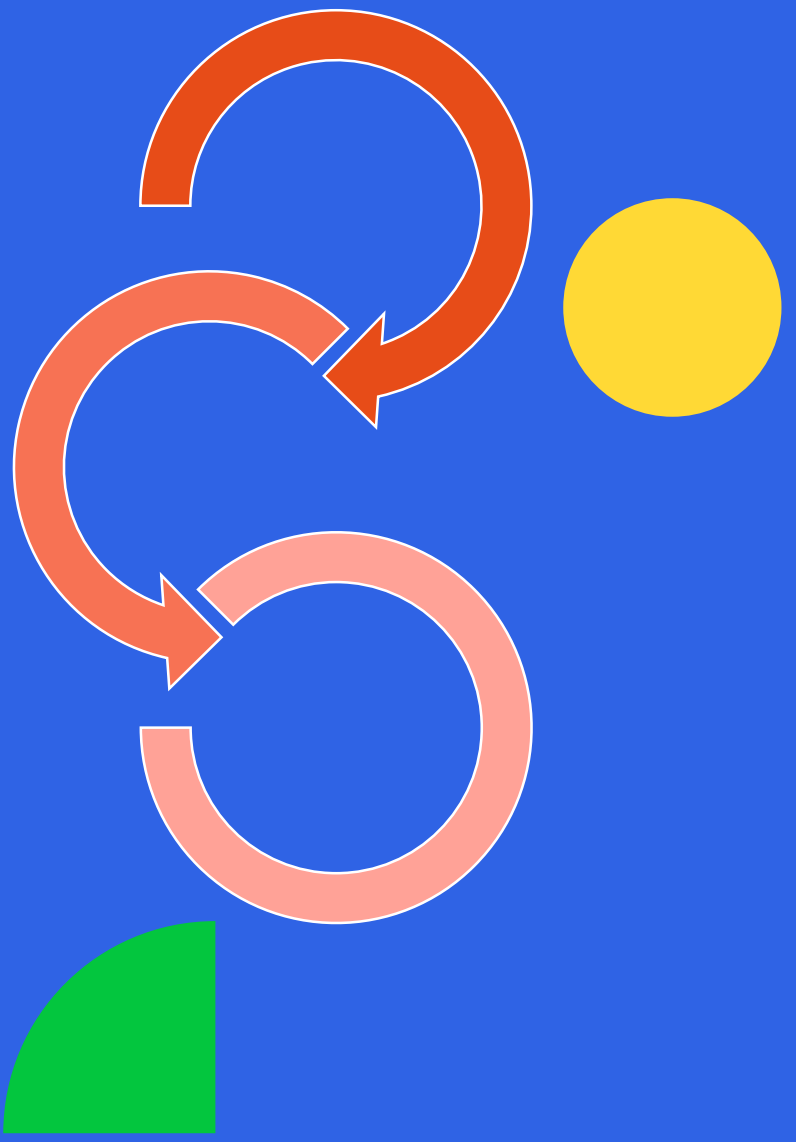
Create an in-house team with focused training for equipment & T&P repair.

Achieve faster repairs, less downtime, and lower maintenance costs.

Deploy the team quickly across locations, reducing dependence on OEMs and external agencies.

# Process Flow

How the system works



# Process flow

### Requirement Identification

Material or spare requirement identified at site by site engineer.

### Material / Equipment Search

Search material using equipment or Material details.

### Vendor & Approved Rate Visibility

System compares Rates with OEM rate, previous purchase price, and approved rate.

### Best Option Selection

Site user selects suitable item and vendor at best available price.

# Process flow

### Auto-Approval Logic

If selected rate is within approved limit, PR is auto-approved. If rate exceeds limit, it is sent to admin for approval.

### PR Generation

Approved PR number is generated in the system.

### Purchase & Delivery

Material is procured by buyer as per existing **WPP** and Material delivered at site.

### Bill Processing & Payment

Bills are processed after finance verification and payment approval, with easy rate verification through the system.

# Conclusion & Key Benefits

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Improves price transparency and vendor availability.

Removes OEM price monopoly for Non-OEM/PAC & Generic items.

Delivers measurable annual cost savings.

Ensures best-cost sourcing from the right vendors.

Enables faster procurement and expands in-house repair capabilities.

# Thank You